Revision Date:
July 1, 2019

Background:
The Expanded Subsidized Employment (ESE) program provides subsidized employment opportunities to eligible individuals. Participants are employed by ESE employers and receive subsidized wages that are countable as earned income for eligibility purposes.

Purpose:
This section has been updated to add new policies for the reinstatement of subsidies in certain situations and to incorporate clarification for sanctioned participants and timed-out Safety Net adults previously issued via CalWORKs Policy Inquiry 2017-05.

Policy:
Program Eligibility
Eligible individuals include:

- Active CalWORKs recipients who are participating in Employment Services (Welfare-to-Work) and deemed to be job ready
- Sanctioned individuals who will cure their sanction through subsidized employment as part of their Sanction Cure Plan. Individuals must maintain compliance with Employment Services requirements to continue in a subsidized placement.

Participants must maintain their eligibility to CalWORKs and continue to meet Employment Services requirements while in the ESE program, with certain exceptions:

- Participants who become ineligible to CalWORKs due to ESE income may remain in the ESE program until their placement ends.
- Participants who reach their CalWORKs time limit and continue to receive CalWORKs Safety Net benefits for their child(ren) may remain in the ESE program until the Safety Net benefits end. If the CalWORKs discontinuance is due to ESE income, timed-out participants (Safety Net adults) may remain in ESE until their placement ends.

Participants who become ineligible to CalWORKs or stop participating in Employment Services for any other reason will be discontinued from the ESE program and subsidies must end.

Participation in ESE may resume with County approval if the individual's CalWORKs eligibility is reinstated within 30 days of the discontinuance and ESE program eligibility criteria continues to be met. Subsidies cannot be paid for ineligible individuals or for any time period in which there was a break in CalWORKs aid.

ESE Placement
Participants are limited to a maximum of six months of subsidized employment, unless eligible to an extension. The placement must be an effective Employment Services activity that will lead to self-sufficiency.

If the placement ends earlier than planned or the placement was not the best fit for the participant's skills or the current job market, a subsequent placement may be allowed on a case-by-case basis.

ESE Extension

The placement may be extended in three-month increments with County approval, for up to six additional months. An extension will only be granted if additional time will increase the likelihood of:

- Participant obtaining unsubsidized employment with the participating employer, or
- Participant obtaining specific skills and experiences relevant for unsubsidized employment for a particular field.

The extension reason (criteria listed above) and approved timeframe must be documented in the case record. Participants may not exceed 12 months in subsidized employment and must meet ESE program eligibility criteria to be eligible for an extension. This includes participants who are no longer eligible to CalWORKs due to ESE income as well as timed-out Safety Net adults.

Employers and Subsidies

ESE employers pay wages to participants, withhold taxes, and provide workers' compensation coverage and paid sick leave for the duration of the employment, as required by State law.

Subsidies are paid for the ESE wages of eligible participants and other allowable costs under the ESE program. Subsidies cannot be paid for ineligible individuals or for any time period in which there was a break in CalWORKs aid.

Procedure:

Processing Guide 10-150.A1 ESE Procedures
Processing Guide 10-150.A4 ESE-EWE Monthly Reporting Procedures

Impacts:

Former ESE participants who lost CalWORKs eligibility due to ESE income are to be evaluated as current recipients if they reapply for aid within three calendar months of their subsidies ending. Contact CalWORKs Program staff to confirm the subsidy end date.

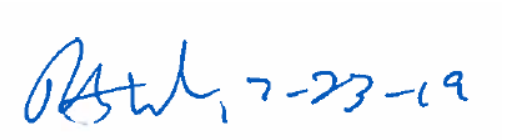
References:

MPP 42-716.8
ACIN I-24-18
ACL 12-15, 12-29, 13-81, 14-17, 14-81, 16-17, 16-95, 17-03

Sunset Date:

This policy will be reviewed for continuance by July 31, 2022.

Approval for Release:



Rick Wanne, Director
Eligibility Operations